CORPORATE REPORTING

Suggested Answers
March-April, 2024

Answer to the Question# 1:

Consolidated Statement of profit or loss and other comprehensive income
For the year ended 31 December 2023

	Notes	**Best**	**Elite**	**Consol Adj**	**Consolidated**
Revenue	1	1,079,801,962	701,871,276	(269,950,490)	1,511,722,748
Cost of revenue	1,2	(798,703,886)	(563,074,259)	278,049,005	(1,083,729,140)
Gross Profit		**281,098,076**	**138,797,017**	**8,098,515**	**427,993,608**
Administrative expenses	3	(130,085,355)	(59,475,529)	(250,000)	(189,810,884)
Selling & distribution expenses		(52,442,429)	(29,868,611)		(82,311,040)
Foreign expenses		(15,956,324)	-		(15,956,324)
Other income	4	49,817,531	-	(9,000,000)	40,817,531
Profit before interest & taxes		**132,431,499**	**49,452,877**	**(1,151,485)**	**180,732,891**
Finance income		1,365,240	-		1,365,240
Finance expenses		(7,140,037)	(2,781,723)		(9,921,760)
Income from associate	6			827,803	827,803
Profit before taxes		**126,656,702**	**46,671,154**	**(323,683)**	**173,004,174**
Tax expenses		(15,622,076)	(2,625,859)		(18,247,935)
Profit for the year		**111,034,626**	**44,045,295**	**(323,683)**	**154,756,239**
Other comprehensive income		-	-		
Profit for the year		**111,034,626**	**44,045,295**	**(323,683)**	**154,756,239**

Attributable to minority interest	11,011,324
Attributable to BCL Shareholder	143,744,915
	154,756,239

Consolidated Statement of Financial Position
As at 31 December 2023

	Notes	Best	Elite	Consol Adj	Consolidated
Assets					
Non-current assets					
Property, plant & equipment		705,964,200	228,726,826	0	934,691,026
Investment in subsidiaries & associates	9,10	260,000,000	-	(202,447,302)	57,552,698
Right-of-use assets		170,257,921	60,549,954	0	230,807,875
Intangible assets		204,729,618	100,639,803	0	305,369,421
Deferred tax		41,528,309	-	0	41,528,309
Goodwill	9	-	-	89,366,367	89,366,367
		1,382,480,048	**389,916,583**	**(113,080,935)**	**1,659,315,696**
Current Assets					
Financial assets	4	231,968,195	99,311,434	(7,200,000)	324,079,629
Trade receivables		342,086,753	240,779,079	0	582,865,832
Inventories	2,3	348,400,821	199,718,131	(8,348,515)	539,770,437
Cash & cash equivalents	4	392,033,467	144,950,861	7,200,000	544,184,328
		1,314,489,236	**684,759,505**	**(8,348,515)**	**1,990,900,226**
Total assets		**2,696,969,284**	**1,074,676,088**	**(121,429,450)**	**3,650,215,922**
Equity & liabilities					
Equity					
Share capital (Face Value of 10 taka)	12	828,000,000	150,000,000	(150,000,000)	828,000,000
Retained earnings	12	330,944,439	123,379,375	(39,711,794)	414,612,020
Non-controlling interest	8			68,282,344	68,282,344
		1,158,944,439	**273,379,375**	**(121,429,450)**	**1,310,894,364**
Non-current liabilities					
Long-term interest-bearing loan		284,040,472	72,500,108	0	356,540,580
Non-current lease liabilities		84,812,517	24,837,951	0	109,650,468
Deferred tax liabilities		-	9,719,389	0	9,719,389
Gratuity liability		153,381,855	37,037,774	0	190,419,629
		522,234,844	**144,095,222**	**-**	**666,330,066**
Current liabilities					
Current lease liabilities		38,898,922	11,676,651	0	50,575,573
Short-term interest-bearing loan		118,313,953	-	0	118,313,953
Trade and other payables		335,982,788	305,785,746		641,768,534
Accruals and provisions		263,461,215	228,949,935	0	492,411,150
Other financial liabilities		259,133,123	110,789,159	0	369,922,282
		1,015,790,001	**657,201,491**	**-**	**1,672,991,492**
Total Equity & liabilities		**2,696,969,284**	**1,074,676,088**	**(121,429,450)**	**3,650,215,922**

Workings/Notes:

Workings 1: Adjustment of intercompany revenue from Elite

Total Revenue for the year	1,079,801,962
Percentage of Revenue from Apollo	30%
Revenue from Elite	**269,950,490**

Workings 2: Adjustment for Unrealized profit (PURP) at BCL

Revenue from Elite	= 269,950,490
Less: Percentage of unsold inventories	= 10%
Total sales price of BCL inventory unsold by Elite	**= 26,995,049**
Margin earning by BCL	= 30%
Total unrealized profit (26,995,049 x 30%)	**= 8,098,515**

This amount will be reduced from inventory during consolidation adjustment. Furthermore, PURP will be adjusted from seller's book.

Workings 3: Adjustment for broken inventories

Assuming no adjustment has been taken in Elite's separate financial statements for broken inventory of BDT 250,000. Elite should write off the inventory and recognize a loss.

This amount will be reduced from inventory and charged in operating expense in Elite's book.

Workings 4: Adjustment for Interim Dividend payment

Total dividend at declared rate = Face value x dividend%
= 150,000,000 x 8%
= 12,000,000

Dividend receivable by BCL = 12,000,000 x 75% = 9,000,000

Dividend received by BCL = 9,000,000 x (1-0.2) = 7,200,000.

Although dividend income and receivable are 90,000,000, BCL has received BDT 7,200,000 from Elite. Rest amount will be deposited to govt. exchequer. Hence, Tax deducted at source (TDS) receivable by BCL and TDS payable by Elite should not be eliminated at consolidation. Dividend payment (net of tax) by Elite for BDT 7,200,000 made within the year end but credited in BCL's bank after year end. Hence it will be considered as cash in transit and added with cash.

Workings 5: Adjustment for Interim Dividend income

Under single entity concept, dividend paid to or received from subsidiaries will be excluded from parents' income statement and added with subsidiaries retained earnings.

Workings 6: Income from associate for the year

Transactions with associates are not considered in consolidation. Hence, purchase and sells transactions between Prime and Elite has not been considered. BCL will recognize its share of profit made by the Prime.

Therefore, income from associate for the year is 1,655,605 x 50% = 827,803

Workings 7: Appropriation of profit for the year

Total consolidated profit for the year		= 154,756,239
Less: Attributed to minority interest	(44,045,295 x 25%)	= 11,011,324
Attributable to BCL Shareholders		**= 143,744,915**

Workings 8: Share of Net asset of Elite

	At Balance Sheet Date	At Acquisition	Post-Acquisition net asset
Share Capital	150,000,000	150,000,000	-
Retained earnings	123,379,375	30,844,844	92,534,531
Less: Loss on broken inventory	(250,000)	-	(250,000)
Total	**273,129,375**	**180,844,844**	**9,22,84,531**
Share of Best (75%)	**204,847,031**	**135,633,633**	**69,213,398**
Minority Interest (25%)	**68,282,344**	**45,211,211**	**23,071,133**

Workings 9: Calculation of goodwill from acquisition of Elite

Cost of acquisition	225,000,000
Less: Share of net asset acquired	(135,633,633)
Total goodwill from Elite	**8,93,66,367**

Workings 10: Investment in Prime (associate under equity method)

Cost of acquisition	35,000,000
Share of post acquisition changes in net asset (W8)	22,552,698
Total	**115,105,396**
Investment in Prime	**57,552,698**

Workings 11: Share of Net asset of Prime

	At Balance Sheet Date	At Acquisition	Post-Acquisition net asset
Share Capital	70,000,000	70,000,000	-
Retained earnings	45,105,396	-	45,105,396
Total	**115,105,396**	**70,000,000**	**45,105,396**
Share of Best (50%)	**57,552,698**	**35,000,000**	**22,552,698**

Workings 12: Retained earnings.

BCL own retained earnings	330,944,439	
Less: PURP	(8,098,515)	322,845,924
Add: Share of R/E in Prime in equity method: (W11)		22,552,698
Add: Share of post-acquisition net asset in Elite		69,213,398
Total retained earnings		**414,612,020**

Answer to the Question# 2(a):

Identification and assessment of what could go wrong:

1. ***Interruption in supply chain due to dependency on single vendor.***

Spring has enlisted single vendor for each category of major raw materials. In case one vendor is unable to supply any raw materials, it would significantly impact the supply chain and production of bakery items. Bakery items that Spring produces are combination of various ingredients. If one ingredient is not available, it would not be possible for Spring to produce intended bakery item. This would lead to financial loss for the company.

Audit procedures to address the risk:

- Review the vendor enlistment documents.
- Obtain understanding of the vendor agreement.
- Check the order and stock management process.
- Check the buffer stock quantity if any and review how many days it will suffice.

2. ***Misstatement of revenue due to error in sales report***

Outlet managers daily prepares and sends sales report to the head office. Based on this sales report, head office recognizes revenue. If the outlet staff makes error in the sales report whether intentionally or unintentionally, head office will recognize revenue incorrectly. Furthermore, outlet staff may understate revenue by reporting bakery item as expired item.

Audit procedures to address the risk:

- Perform daily reconciliation of the quality bakery items sold and sales revenue.
- Review management reconciliation of expiry of each bakery batch with items sold.
- Confirm the cash sales are captured in the sales report.

3. ***Violation of health code and usage of expired raw materials and industrial color.***

Food safety authority has already identified violation of health code. Furthermore, it has identified usage of expired products and industrial color in the production process. Use of expired product and industrial color creates health risk for the consumers. These violations of health code and usage of expired raw materials and industrial color will lead to financial penalty from regulators and prospective litigation from the customers. Furthermore, these practices put workers' health at risks as well. This could also lead to claim of compensation by the workers. All these may lead to significant financial impact.

Audit procedures to address the risk:

- Inspect the penalty documents issued by the Food Safety Authority and confirm that penalty amount has appropriately reported in the financial statements.
- Discuss management to understand regarding existence of potential litigation.
- Check the financial statements to confirm appropriate provision has been kept and appropriate disclosure has been made regarding ongoing litigations.
- Discuss with management to understand probability of future litigations.
- Send legal confirmation to ensure existence of ongoing litigation and their prospective financial impact.

4. ***Inadequate employees training leading to spoilage and wastage of raw materials.***

When inquired by food safety authority, Spring's worker was unable to provide satisfactory response regarding quality of raw materials used. This indicates that workers are not given sufficient training to make them fully aware of the production process, ingredients, and quality. If the workers are not fully aware of the ingredients and quality required, they might use the raw materials incorrectly. This could lead spoilage and wastage of raw materials in production process and decrease profitability for increased production cost.

Audit procedures to address the risk:

- Inspect the schedule and content of the trainings provided or to be provided to the workers.
- Inquire workers and production staffs to check their knowledge about ingredients being used, the production process and the ratio of raw materials required for production.
- Inquire why the workers were unable to respond to the quires of food safety authority.

5. ***Excess purchase of raw materials due to absence of clear production plan***

Management inspection has identified that Spring do not have clear production plan. Furthermore, the vendors often push the spring factory staff to place purchase order in excess of the required quantity. Excess purchase creates excess liability and increases inventory holding costs. Furthermore, Unused raw materials may become expired which could lead to financial loss for Spring.

Audit procedures to address the risk:

- Understand Spring's order placement process.
- Identify and test the controls placed in order placement process, if available.
- Perform substantive tests on few orders placed to ensure the orders has been placed against raw material requisition.
- Check the existence of appropriate segregation of duties by confirming different preparer, reviewer, and approver of the purchase orders.
- Confirm that quantity receipt matches with quantity ordered.
- Confirm the unit prices in purchase order, invoice and pricing agreement are in line.

6. ***Product quality is greatly dependent on the quality raw materials supplied by vendors.***

Quality of the bakery items Spring produces are mostly dependent on the quality of raw materials supplied by its vendors. If raw materials are inferior quality, the bakery item will be of inferior quality. Spring could experience financial loss for inability of its vendors to fulfil their contractual obligation.

Audit procedures to address the risk:

- Observe the quality inspection process at Spring factory.
- Inquire the inspection staff regarding criteria used in checking raw materials quality.
- Read the compensation clauses in the vendor agreement to understand how Spring will be compensated by its vendors for being unable to supply quality raw materials.
- Inquire management to understand the frequency of vendor's failure and remediation and compensation process.

7. ***Manual recording of business transactions.***

Many financial transactions including purchase and issue of raw materials are recorded and maintained manually. Because of the manual process, there could be error in recording the purchase and issue quantity or even incorrect price. This could lead to recording incorrect inventory balance or production cost. Furthermore, it would be difficult to search relevant data or analyze the business transactions.

Audit procedures to address the risk:

- Perform physical inspection at the year end and match the physical quantity with recorded quantity to confirm accuracy of business records.
- Perform reconciliation of purchase, issue and inventory quantity and confirm appropriate purchase and issue has been reported in the financial statement.
- Perform substantive test by selecting samples of purchase invoice and match them with manual purchase register.
- Ensure any change, modification and corrections are appropriately signed and supported by vouchers.

8. Absence of license from BSTI may lead to financial penalty.

Spring has been selling its products without obtaining BSTI License. According to the BSTI regulations, an organization should obtain BSTI license before any item can be sold in the market. However, Spring has not obtained BSTI license in its long year of operation. This means Spring has clearly violated its BSTI compliance requirement. This could lead to penalty by multiple authorities including BSTI, Mobile court and Bangladesh Food Safety Authority. Furthermore, Spring may face going concern threat if production facility is shut down by the authorities due to unauthorized item production.

Audit procedures to address the risk:

- Inquire management regarding the reason for not obtaining BSTI license.
- Identify the compliance requirements applicable for Spring as private company and Bakery business and evaluate the requirements complied by Spring.
- Identify the consequence of non-compliance and discuss with management.
- Ensure sufficient provision kept and appropriate disclosure has been made in the financial statements for non-compliance.

9. Protentional misstatement in prior year financial statements

Audit firm has taken the audit engagement with Spring for the first time. Comparative information in the financial statements is audited by predecessor auditor. If the comparative information includes any misstatement, that would be carried in the current year financial statement and the misstatement will continue in the current year financial statements. As Spring has changed its auditor and new firm has been appointed, there could be a possibility that there was a dispute between Spring management and predecessor auditor.

Audit procedures to address the risk:

- Match the comparative information with prior year audited financial statements.
- Ensure the opening balance of trial balance matches with prior year audited financial statements and the comparative balances in current year financial statements.
- Perform initial audit process due to first year of audit engagement by reviewing workpaper of prior year auditor or confirming the balances in opening balance sheet.
- Perform some substantive testing on the opening balance.
- Ensure accounting principals is being applied consistently.
- Discuss with management and obtain understanding for the reason of changing auditor in current year when the entity is likely to issue shares to a new investor.

Answer to the Question# 2(b):

Fraud risk analysis on Spring's business:

1. ***Probable collusion of Spring employees with single vendors.***
   Spring has enlisted single vendor for major part of raw materials. This creates opportunity for employees to collude with the vendors. Vendors may supply inferior quality or expired raw materials which Spring's quality inspection team may overlook. Furthermore, the vendor may overcharge Spring by supplying less quantity or by over-invoicing.

2. ***Outlet staff may misappropriate cash and report the products unsold or expired.***
   Spring outlets accepts both cash and card as payment method. Outlet staff may misappropriate the cash and report the bakery items as unsold until the product pass the expiry date. Upon passing the expiry products, outlet staff may report the item as expired and destroyed.

3. ***Intentional use of industrial grade color instead of food grade color.***
   Spring employees has been purchasing and using industrial grade color in the bakery items instead of food grade color. Because the industrial grade color is cheaper, employees may intentionally purchase industrial colors and report cost of food grade color. Furthermore, there may be management pressure to use industrial color to reduce production cost.

4. ***Reporting excess consumption of raw materials by the production employees.***
   Spring maintains purchase and issue of material manually. This creates an opportunity for the employees to report incorrect data. They may report consumption of raw materials in excess of required amount and misappropriate the differential quantity. Alternatively, this could lead to reporting higher quantity purchase when less quantity is received.

5. ***Incorrect payment to workers and payment to ghost worker.***
   Workers are Spring's factory are paid monthly basis on cash. This led to opportunity to fraud by reporting ghost worker and making cash payment to them. Furthermore, as workers are paid in cash, some employees may force worker to receive less cash but provide acknowledgement for full amount. Moreover, there are opportunities of creating fake acknowledgement without actually making payment to the employees leading to intentional overstatement of payroll expenses.

6. ***Potential overstatement of financial statements to present inflated financial condition to the investor.***
   As Spring is planning to issue capital to potential investors, management try to inflate the financials to show improved profitability which would lead to higher valuation of the company. This would result in higher price of share and issuance of less share to investor or excess payment by the investor from the fair value of the company.

Suggestive controls for addressing the fraud risks:

1. Introducing multiple vendors to reduce dependency on single vendors.
2. Perform due diligence on vendor enlistment process and inspect potential relationship of employees with vendors.
3. Introduce segregation of duties and increase monitoring purchase order placed to vendors and quality & quantity received from vendors.
4. Compare the purchase price with market price on a regular basis to avoid over invoicing by vendors.
5. Reconcile inventory in each outlet with item sold and cash received.
6. Expired product may be returned to head office for destruction. Alternatively, outlet manager needs to submit proof of destruction.
7. Enlist vendor for purchase of food color to avoid purchase of industrial color.
8. Determine raw material ratio for each item and reconcile the production quantity with raw material consumption.
9. Introduce segregation of duties for recording, reviewing and approving purchase and issue of raw materials.
10. Reconcile payment to number of employees with number of workers worked.
11. Review working hours with hours for which payments are made.

12. Make payment through bank or mobile financial services.
13. Ensure management review the financial statements on regular basis and complies with applicable financial reporting standards.

Answer to the Question# 2(c):

Ethical issues involved:

1. ***Potential independence threat due to familiarity of partner with client management.***
   Audit engagement partner is school friend of the Chairman of Spring Bakehouse. Because of this engagement partner may not be independent of the client. Audit partner may be influenced by client chairman to issue incorrect audit opinion.

2. ***Pressure to complete the audit with insufficient time.***
   Before accepting and audit client, engagement partner needs to ensure that there is sufficient time and resource available to perform the audit. However, it appears that Spring management is in rush to complete the audit within very short time just after the year end. This gives auditor very short time to complete the audit and may lead to incorrect audit opinion.

3. ***Engaging team without completing acceptance procedures.***
   Before accepting an audit engagement, audit team should perform client acceptance procedures including obtaining clearance from predecessor auditor. However, in case of Spring, the audit firm have not completed the client acceptance procedures. It already stated audit works without receiving clearance from predecessor auditor and formally accepting the audit client.

4. ***Probable advocacy and self-review threat from cooperating with client.***
   Chairman of Spring has requested audit partner to cooperate with the client in completing the audit works. This may indicate potential assistance to client in preparation of financial statements and guiding implementation of various financial reporting standards. This could lead potential advocacy and self-review threat in the audit engagement.

Suggestive remediation options:

1. Complete client acceptance procedures and obtain professional clearance from predecessor auditor.
2. Formally accept the client and sign engagement letter before commencing the audit work.
3. Plan the audit time and resource and clearly communicate the time required to the management to complete the audit.
4. Clearly communicate with client about potential advocacy and self-review threat to avoid assisting management in preparation of financial statements or guiding to implement reporting standards.
5. Review the potential independence threat dur to familiarity of Audit Partner with Spring Chairman. If required suggest audit partner to resign from the engagement on the ground of independence.

Answer to the Question# 3(a):

<u>Key risks in Highland consolidated financial statements and suggestive audit procedures:</u>

- **Misstatements in Property plant & equipment:**
  Highland subsidiaries have revalued their land and building. Accordingly, it recognized revaluation surplus and related deferred tax. However, highland itself measures the land and building in cost model. That means there is a policy difference between Highland and its subsidiaries. As per IFRS, if revaluation is done, entire class of that asset is to be revalued. So, if subsidiary revaluation is to be included in consolidated financial

statements, Land and building of Highland should also be revalued. Alternatively, entire class of asset should be reported under cost model.

Audit Procedures to be performed:

- ► Review management policy of measuring land and building. Whether the consolidated financial statement will be presented under cost model or revaluation model.
- ► If cost model is to be applied, ask management to revise the consolidated financials excluding impact of subsidiary revaluation.
- ► If revaluation model is to be applied, ask management to revalue Highland's land & building under revaluation model.
- ► Review prior year financial statements to confirm consistent application of policy.
- ► If new policy has been introduced during the year, ensure financial reporting requirement for policy change has been complied with.
- ► Ensure appropriate disclosure has been made by management in the consolidated financial statements.

- **Intercompany transactions and balances are not omitted in consolidation adjustments**

  According to the IFRS 3 business combination, intercompany transactions and balances are omitted during consolidation adjustment. However, the draft consolidated financial statements shared by Highland, these intercompany balances and transactions has not been omitted. This indicates that the consolidated financial statements have not been properly adjusted and balances presented in the financial statements are overstated. This raises a risk that other area of financial statements may have not been presented properly.

Audit Procedures to be performed:

- ► Discuss with management to identify the related parties and transactions with them.
- ► Suggest management to omit the intercompany transactions and balances and request for revised consolidated financial adjustments.
- ► Review the consolidated adjustments and match with underlying documents.
- ► Review the company's financial statement disclosures related to related party transactions. Verify that the disclosures are made in accordance with Financial Reporting Standards.
- ► Review the minutes of board meetings and other relevant documents to verify that the related party transactions were properly approved and documented by the board of directors.
- ► Examine supporting documentation for related party transactions, such as invoices, purchase orders, and communication related to the transactions.
- ► Maintain professional scepticism for any signs of fraud or intentional misrepresentation in related party transactions. This includes examining the risk of management override of controls.

- **Unsold inventories are not adjusted in consolidation**

  There has been significant purchase and sales transactions between Apex and Zenith. There could be unsold inventories at the year end. This could lead to inclusion of unrealized profit in consolidated financial statements. Eventually it will overstate the profitability in consolidated profit or loss.

Audit Procedures to be performed:

- ► Understand the consolidation procedures and policies to determine how unsold inventories are treated in the consolidation process.
- ► Review supporting documentation and workpapers related to the consolidation process, including any adjustments or eliminations made during consolidation.
- ► Investigate any intercompany inventory transactions. Ensure that they are properly eliminated during consolidation and that the reported inventory figures accurately reflect the consolidated entity's position.

- ► Perform physical inventory counts or obtain confirmation to verify the existence and condition of the unsold inventories.
- ► Obtain written representations from management confirming the accuracy and completeness of the presentation of unsold inventories in the consolidated financial statements.

- **Window-dressing financial statements as preparation for IPO procedures.**
  Highland management is currently planning to go for IPO in three years. Management is planning to finetune and clean up the financial statements as preparation of the financial statements. This indicates that current year financial statements may contain misstatements that need to be cleaned up. Furthermore, management may plan to overstate the financial statements over three-year period to window-dress and make lucrative to investors during IPO procedures.

  Audit Procedures to be performed:

  - ► Gain a comprehensive understanding of the company's motivation for going public, the timeline, and the regulatory requirements involved in the IPO process. This will help the auditor assess the potential for window-dressing.
  - ► Tailor the audit plan to address the risk of window-dressing of financial statements. Consider the potential areas where manipulation might occur, such as revenue recognition, expense management, and asset valuations.
  - ► Review the audit materiality and adjust for increased risk of misstatements.
  - ► Increase substantive procedures for addition of assets, strictly obtain direct confirmations for third parties like banks, debtors, creditors and lawyers.
  - ► Review compliance requirements and ensure Highland is complying with requirements.

Answer to the Question# 3(b):

As group auditor, following matters should be added in the group audit instructions to the component teams:

1. Recent business updates (e.g. plan for IPO).
2. Procedures being performed by group auditor (risk assessments)
3. Materiality level assigned to each component
4. Timely communication with group auditor for identified risks
5. Instruction to perform procedures on following risk areas:
   a. Overstatement of PPE from revaluation
      i. Review the revaluation documents by component management.
      ii. Review reporting process complying with reporting framework.
      iii. Review board meetings for reason of revaluation.

   b. Misstatements in related party transactions and balances:
      i. Inquire management and identify complete list of related parties.
      ii. Understand related party transactions and perform substantive procedures.
      iii. Obtain confirmation from related parties for outstanding balances.
      iv. Identify unsold inventories and related margins.
   c. Misstatement in cash & cash equivalents.
   d. Misstatement of revenue
   e. Management override of controls.
6. Deliverables and timelines
7. Review of workpapers by component teams.
8. List of services being provided to the component entity and related fees.

Answer to the Question# 4:

Report:

To: Directors of Galaxy Ltd.

From: Consultant

Re: Analysis of performance of Galaxy Ltd. for year ended December 2023.

Dear Directors,
I am pleased to present to you my report into the performance of your company for the past year. I have taken the liberty of making comparisons with the previous year, and tentative projections, based on information provided by yourselves.

I will address performance under the following headings, which are customary for this type of report. These are: Profitability; Liquidity; and Efficiency.

Calculations and supporting data are provided in an appendix to this report, should you wish to refer to them.

Profitability

The first point that should be made is that the Company is highly profitable under almost all standard measures.

Gross margin and net margin are exceptionally high, and should the business grow as projected, will lead to very fast growing profits. Gross margins were 82% in 2021, falling to a still excellent 64% in 2023. Allowing for the unusual cost incurred in 2023, and assuming this had not happened, the gross margin would have been close to 70%. Whilst this is a decrease from the 2022 figure, it should be noted that high volumes at a 70% margin will lead to more profit that lower volumes at an 82% margin. Hence it is not a bad thing to see the margin drop somewhat as volumes increase, provided the additional profit outweighs the lower margin. Whilst this did not happen in 2023, it is reasonable to project that this will happen going forward, as set-up issues get resolved and volumes continue their expected growth.

Return on capital employed is reasonable, although not exciting. It seems from the nature of the business, that significant capacity now exists to leverage the existing capital base, and grow sales volume substantially. This will lead to growth in the return on capital.

Return on equity is higher than ROCE, suggesting that the Company is using borrowed funds effectively to leverage equity. This effect should only increase as the business scales up.

Liquidity

The liquidity of the Company has improved significantly over the past year.

The current ratio improved from 0.98:1 to 1.58:1. The Acid Test (Quick) ratio likewise improved from 0.67:1 to 1.1:1. These changes transform the ratios from being worryingly low in 2021 to their present improved levels.

This change is mainly due to the capital raised. Much of this was invested in future expansion, but whilst many businesses see a liquidity crunch when expanding, Galaxy Ltd. could able to manage this very well.

Longer term liquidity is measured by the Gearing ratio. This was very conservative in 2022, at 50%. The ratio (on a debt/equity basis) extended to 96% in 2023, due to additional debt taken on to fund the expansion. This appears to have led to an increased interest rate. The 2022 debt incurred interest at 5% (90/1800) whilst the 2023 debt was charged at 6.7% (300/4,500). This means the marginal debt in incurring a marginal interest rate of 7.8% (300-90) / (4,500-1,800) per annum. This appears justified given the strength of the market opportunity opening to the Company. However, be aware that return on capital needs to exceed this rate or else the business will start hemorrhaging cash. This can turn into a vicious circle very easily. Note carefully the date the loan is due for repayment or renegotiation (2028). This can create a liquidity trap unless the business performs as projected in the meantime.

Overall, there seems to be little liquidity pressure on this company. There is ample cash to pay short-term liabilities as they fall due.

Efficiency

This is an area I recommend that some close attention be paid to. There seems to be some weaknesses in the management of working capital.

Inventory days appear to be high, although they are improving. This may be due to the long shipping times inherent in your business model**. However, I recommend examining this to see if improvements can be made.**

This does appear to be compensated for somewhat by longer payables days. If goods are spending a long time on ships, and yet your firm has not paid for them, this is cash neutral. It may be worth checking if the price paid would be cheaper if goods were paid for more quickly. Three is often a hidden cost to long payables days, in that a higher price than necessary may be charged by suppliers.

Receivables days, likewise, look as if tighter management would benefit the business. 71 days is longer than normal to be allowing customers to pay for goods purchased. The nature of the product is such that it may become obsolete quite quickly. If this happened, customers may struggle to pay for goods that are no longer selling for them. As gross margins are so high, there may be scope to offer customers a discount for quicker payment. This would pay for itself in lower interest and lower bad debt costs.

Conclusion

Although profit for 2023 was the same as 2022 despite greater volumes, this is not a concern at all. On examining the figures, it seems clear that there were one-off items affecting performance in 2023 that will not recur. I have recalculated the key ratios on the basis that the 110 million in extra purchase costs will not recur in 2024. The revised ratios show a much more positive performance. I have assumed that 110 million would be saved, as instructed, and that this would be taxed at the company's average rate of 9.65%.

Looking forward to 2024, if sales volumes get a rational growth (say 10%), profit for the year could be reasonable expected to have around 30% growth. This would place the Company on a very strong financial footing. If this growth rate can be maintained, I foresee a very bright future indeed.

Annex: Ratios & Calculation

Ratios	2022	2023	2023 Adjusted
Gross margin	82%	64%	70%
Net margin	56%	31%	37%
ROCE	13.2%	10.0%	11.2%
ROE	15.7%	12.0%	14%
Current ratio	0.98: 1	1.58: 1	n/a (no change)
Acid Test	0.67: 1	1.1: 1	n/a
Inventory days	264 days	157 days	189 days
Receivables days	66 days	71 days	n/a
Payables days	146 days	146 days	176 days
Gearing Ratio	50%	96%	94%

Effective tax in 2023	9.65%
after tax Savings from the one-off supply shortage event	99.39

Answer to the Question# 5(a):

- **Reporting car facilities**

  For the 10 employees' total loan will be taken for BDT 2,000,000 x 10 = 20,000,000 at 10% annual interest rate. As provided information, annual lease payment is 4,796,318. Ideally this payment would be recognized as employee benefit expenses. However, as Bee has entered into triparty arrangement, it has the obligation to make payment to the leasing company in case employees plans to stay with the company. Therefore, a lease liability should be recognized for BDT 20,000,000. Annual payments would be used for settling the outstanding obligation.

Although the cars are bought with loan using employee account, Bee limited has come control over the cars. Bee limited can pay off the entire lease and own the car before transferring them to employees after 5 years. Therefore, Bee limited should recognize these cars as its own with the amount equivalent to lease liabilities. Car would be depreciated over 5 years and interest would be charged on lease liabilities. These expenses would be recognized as employee benefit expenses under IAS 19.

Year	Opening	Payment	Interest	Closing
1	20,000,000	(4,796,318)	1,520,368	16,724,050
2	16,724,050	(4,796,318)	1,192,773	13,120,506
3	13,120,506	(4,796,318)	832,419	9,156,607
4	9,156,607	(4,796,318)	436,029	4,796,318
5	4,796,318	(4,796,318)	-	-

In the first year, bee Limited should post following entry.

1.	ROU Asset	Dr.	20,000,000	
	Lease liabilities	Cr.		20,000,000
2.	Lease Liabilities	Dr.	4,796,318	
	Bank	Cr.		4,796,318
3.	Employee benefit Exp (Interest)	Dr.	1,520,368	
	Lease Liabilities	Cr.		1,520,368
4.	Employee benefit Exp (Depreciation)	Dr.	4,000,000	
	Acc. Depreciation-ROU	Cr.		4,000,000

- **Office rental**

Although Bee Limited has entered into rental contract for 1 year only bit it has renewal option. Bee intends to renew the lease and continue up to 5th year. Therefore, the lease term would be 5 years and should be considered for lease. Considering the 10% as discount rate, following amount should be recognized as ROU Assets & liabilities.

As per calculation, total ROU Asset & liabilities should be recognized as 125,095,963.

Year	Lease Payment	Discount @ 10%	Present value
0	30,000,000	1.00	30,000,000
1	30,000,000	0.91	27,272,727
2	30,000,000	0.83	24,793,388
3	30,000,000	0.75	22,539,444
4	30,000,000	0.68	20,490,404
			125,095,963

Lease amortization schedule is

Opening	Payment	Interest	Closing
125,095,963	(30,000,000)	9,509,596	104,605,560
104,605,560	(30,000,000)	7,460,556	82,066,116
82,066,116	(30,000,000)	5,206,612	57,272,727
57,272,727	(30,000,000)	2,727,273	30,000,000
30,000,000	(30,000,000)	(0)	(0)

Annual Depreciation on this ROU Asset would be 25,019,193 (e.g. 125,095,963/5).
Annual Interest on outstanding lease liabilities would be 9,509,596.

Following entries should be passed:

1.	ROU Asset	Dr.	125,095,963	
	Lease liabilities	Cr.		125,095,963
2.	Lease Liabilities	Dr.	30,000,000	
	Bank	Cr.		30,000,000
3.	Interest Exp (Interest)	Dr.	9,509,596	
	Lease Liabilities	Cr.		9,509,596
4.	Depreciation Exp	Dr.	25,019,193	
	Acc. Depreciation-ROU	Cr.		25,019,193

Answer to the Question# 5(b):

Financial reporting implications and necessary adjustments:

Issue - 1. Financial instruments and foreign exchange effect

(i) The investment in KRR, held at FVTOCI, has increased its fair value, and the increase should be recognised through OCI. The asset is measured at 31 March 2024 at:

500,000 shares x JPY 125 per share = JPY 62,500,000
Translated at spot rate on 31 March 2024:
JPY 62,500,000/1.5 = BDT 41,666,667.

Although the value of the shares has increased, the exchange rate movement results in an overall loss: BDT 42,500,000 – BDT 41,666,667 = BDT 833,333

The journal entry required is:

DR Revaluation reserve	833,333	
CR Financial asset through FVTOCI		833,333

(ii) The investment in PXYG is classified as fair value through profit or loss (FVTPL) and so any change in fair value is recognised in profit or loss.

150,000 shares at JPY 17 = JPY 2,550,000
Translated at spot rate on 31 March 2024:
JPY 2,550,000/1.5 = BDT 1,700,000

The increase in fair value is therefore: 1,700,000 – 1,500,000 = BDT 200,000. The journal entry required is:

DR FVTPL financial asset	200,000	
CR Profit or loss		200,000

2. Service contract

In this case, it seems clear that there are separate components, and that the components are capable of being measured by reference to the price of the goods. The service component should therefore be treated as deferred revenue, to be recognised in the future in the period(s) in which the service is carried out. The value of the service element to be deferred is BDT 9,000,000.
The journal entry required is:

DR Revenue	9,000,000	
CR Deferred revenue		9,000,000

3. Deferred tax
Adjustments are required as follows in respect of deferred tax.

(i) Land and buildings.

When the land and buildings are eventually disposed of, tax will arise on the gain calculated as the difference between sale proceeds and original cost. At 31 March 2024, therefore, the deferred tax balance in this respect is: (BDT 45m – BDT 30m x 15% = BDT 2,250,000. The balance brought forward was BDT 1,750,000 and so the deferred tax balance is increased by (BDT 2,250,000 – BDT 1,750,000) BDT 500,000. The deferred tax charge is recognised as an increase in the deferred tax liability, and a decrease in the amount recognised through other comprehensive income and reserves in respect of the revaluation.

(ii) Temporary differences arising in respect of gains/losses on financial assets.

GQAC has sustained a fair value loss in respect of the investment in KRR. This is recognised in other comprehensive income in the year ended 31 March 2024. As the movement in value is not brought into the charge to tax until the investment is sold and the reserve transferred to retained earnings, there will be a deferred tax effect. The tax base of the asset is BDT 42.5 mn, but the carrying amount is BDT 41.67 mn. The deductible temporary difference is therefore BDT 833,333. At an income tax rate of 25% this creates a deferred tax asset of BDT 208,333. This amount is recognised as a deferred tax asset and is credited to the revaluation reserve.

The treatment of the increase in fair value of the investment in PXYG is different however. This is recognised in profit or loss in the year ended 31 March 2024, and a current tax charge is increased in respect of the gain. This is because, in this jurisdiction, tax treatment follows accounting treatment in respect of recognition of gains and losses through profit or loss. At an income tax rate of 25% this increases the current tax charge by (200,000 x 25%) = BDT 50,000.

(iii) Temporary differences arising in respect of deferred income.

The service income has been received. But, because it is now being treated as deferred income, it is not subject to immediate taxation (because tax treatment follows accounting treatment in respect of income recognition). The current tax charge and current tax liability are therefore reduced by an amount of BDT 9 mn x 25%: 2,250,000.

Journal entries required are as follows:

DR Revaluation reserve (i) (Head office revaluation)	500,000	
CR Financial Instruments revaluation reserve reserve (ii KRR)		208,333
DR Current tax charge (ii PXYG)	50,000	
CR Current tax liability (ii PXYG)		50,000
CR Current tax charge (iii) (deferred revenue)		2,250,000
DR Current tax liability (iii)	2,250,000	
CR Deferred tax (500,000 in (i) – 208,333 in (ii)		291,667

---The End---